NOTE 30

The statements in the text may be verified by a detailed examination of the price records from which the following have been drawn as illustrations. On Oct. 31, 1929, the Kansas City Terminal 4s, due 1960, sold at $86^1/_4$ to yield 4.9%, whereas, on the same day the General 4s of the Chicago, Rock Island & Pacific Ry., due in 1988, sold at 90 to yield 4.5%. Four years later, on Nov. 22, 1933, the Kansas City Terminal bonds sold at $86^1/_4$, although the Rock Island General 4s had declined to 42, a price yielding about 10%. On Dec. 8, 1927, the Terminal bonds sold at $93^7/_8$ and the Chicago, Milwaukee & St. Paul Ry. General 4s, due 1989, sold at 93 to yield somewhat less than the former. On Feb. 24, 1933, the Terminal bonds were selling at 90, to yield about 4.65%, whereas the St. Paul General 4s had declined to a price of 38 and a yield of around 11%. Between Nov. 7, 1927 and June 15, 1932 the Terminal 4s declined from 93 to $82^3/_4$ (yields of 4.4% and 5.18%, respectively) while Missouri-Kansas-Texas R.R. Prior Lien 4s, due 1962, declined from 93 to $31^1/_8$ (yields of 4.39% and over 15%, respectively).

Issue	**Price range 1929–1939**	**Price at close of 1939**	**Yield at close of 1939**
Kansas City Terminal 4s, due 1960	$109^7/_8$–78	$107^3/_4$	3.45%
Chicago, Rock Island & Pacif. Ry. Gen. 4s, due 1988	96–10	$13^7/_8$	Default
Chicago, Milwaukee & St. Paul Ry. Gen 4s, due 1989	$87^7/_8$–$19^1/_2$	$24^3/_4$	Default
Missouri-Kan.-Texas R.R. Prior Lien 4s, due 1962	$94^1/_2$–$11^1/_2$	$14^5/_8$	27.3%*

* Current yield, obviously subject to doubt concerning continuance.

Some features of the subsequent record of these issues are given in the table above.

NOTE 31

The New York & Harlem R.R. situation presents some interesting aspects of leases and guarantees.

1. The major part of the property is leased to the N.Y. Central for 401 years at a rental equivalent to bond interest and $5 dividends on the preferred and common stock. The bond interest and principal are both specifically guaranteed by the N. Y. Central, but there is no specific guaranty of dividends. However, dividends have been paid regularly under the lease since 1873.

2. The street railway properties were leased separately to N.Y. Rys. Co. for a rental equivalent to an additional $2 per share on both classes of stock. When